Decision Memo

NVIDIA: WATCH / DEFER

Prepared October 19, 2026; student subsequently confirmed review and agreement with the assumptions and recommendation (see ../07_Validation_AI_Record/Student_Review_Confirmation.md). Historical valuation date: September 8, 2026. Intended user: buy-side portfolio manager and analyst committee; fund currently has no position. Decision horizon: initiation review over the next 12 months, supported by five rolling forecast years and a continuing value. Security: NASDAQ NVDA common stock; USD; 24.285bn quarterly diluted weighted-average shares used as a valuation-date proxy.

Committee decision

Retain WATCH / DEFER. The conditional DCF scenario range is approximately $125–$386/share, with a $209/share base anchor, versus the historical September 8 close of $225.73. The base is 7.3% below that quote; the upper outcome requires several favorable conditions together. The range is a scenario envelope, not a probability interval or a claim that all outcomes are equally likely. Screening selected the company; it does not establish investment value. Historical close (https://stockanalysis.com/stocks/nvda/history/).

Scenario	Causal assumptions	Year 5 EBIT ($bn)	Year 5 FCFF ($bn)	Value/share
Low	Growth -5pp; EBIT margin -5pp; WACC 11%; g 2.5%	373.24	290.41	$125.30
Base	Saved growth/margins; WACC 10%; g 3.5%	502.82	385.97	$209.28
High	Growth +5pp; EBIT margin +5pp; WACC 9%; g 4.5%	666.74	506.73	$386.04

The lower case links slower deployment to weaker growth and pricing, with a higher required return and lower mature growth. The upper case links faster adoption and durable pricing to stronger economics and lower perceived risk. These combined cases are AI-assisted extensions of the saved assumptions; the student has confirmed review and agreement. They do not test a full AI-spending collapse; outcomes outside this range remain possible. A narrower $164–$294 range changes only WACC and terminal growth while preserving the operating base and should not be confused with the causal-case range.

Why defer

The model has substantial long-run exposure: terminal value is 78.0% of enterprise value. Its 58% terminal operating margin and 10% WACC are assumptions, not independently established market facts. A reverse DCF requires approximately 26.26% constant annual revenue growth for five years to match $225.73, holding all other assumptions fixed. This is one conditional expectation, not the market's uniquely revealed forecast.

The equity bridge is explicit: EV $5,016.250bn + cash $22.443bn + marketable securities $76.926bn - debt $33.366bn = equity $5,082.253bn; divide by 24.285bn shares. Cash and securities are assumed available at carrying value without realization taxes; nonmarketable holdings are excluded. Operating leases remain within operating costs. Forecast cash is not added a second time. Source dates and mappings are in the evidence ledger.

Methods disagree for economic reasons

The saved annual-GAAP peer P/E exercise produces $379–$935/share, with a $657 midpoint. AMD and Broadcom are qualified business comparisons, not interchangeable earnings streams. Growth, mix, acquisition amortization, tax effects and fiscal-year timing differ. The added annual EV/revenue comparison avoids EPS as its denominator but still ignores profitability differences and uses lagged capitalization proxies. It is a diagnostic, not a replacement target. Do not average those methods into an apparently precise fair value. No transaction multiple is used because a defensible control/synergy/time comparison has not been established.

Conditions that change the action

- Consider initiation: price at least 20% below a newly reviewed conservative value, with the lower-case demand, margins and reinvestment supported by fresh evidence. Applied mechanically to today's draft lower case, that review threshold is about $100/share; it is an analyst-proposed margin-of-safety rule, not an automatic buy order. Alternatively, stronger independently supported operating evidence could raise conservative value. Re-run the full range first.
- Continue defer: the quote sits within the wide range but conservative downside and terminal uncertainty remain unresolved, or improved results come solely from moving sliders without new evidence.
- Do not initiate: customer funding failures, sustained demand contraction, export restrictions, or loss of pricing power invalidate even the conservative operating case; replace that case instead of stretching the current range.

At each earnings release, review revenue versus the declining growth path, operating margins versus the year-specific path, working-capital intensity, capital spending, and customer concentration/funding. Two consecutive quarters that imply growth below the lower path or operating margins more than 5pp below the base path trigger a rebuild; a single material financing or export event triggers immediate review. These are monitoring judgments, not company forecasts. The student has confirmed review and agreement with the current assumptions and recommendation; see the student review confirmation.

Decision limits and evidence

The model passes numerical reconciliation and failure tests; that does not prove the assumptions. Detailed share dilution, debt maturities, investment taxes, and operating working-capital account forecasts remain simplified. The cost of capital is a scenario hurdle, not a current CAPM estimate. Annual peers remain stale relative to the quote. The full primary-source review, assumptions, visible statements and validation are packaged separately. Edition A acceptance is resolved by student-reported TA confirmation, and the official benchmark comparison passes 22/22 checks. AI-off authorship is student-attested; historical precommit/review timing remains unverified. Three recordings are now saved in the package; corrected transcripts remain outstanding.

Sources: NVIDIA FY2026 10-K (https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm); Q2 FY2027 release (https://investor.nvidia.com/news/press-release-details/2026/NVIDIA-Announces-Financial-Results-for-Second-Quarter-Fiscal-2027/default.aspx); AMD 2025 10-K (https://ir.amd.com/financial-information/sec-filings/content/0000002488-26-000018/amd-20251227.htm); Broadcom FY2025 10-K (https://www.sec.gov/Archives/edgar/data/1730168/000173016825000121/avgo-20251102.htm). Primary documents were re-opened October 19, 2026; only pre-valuation-date information is used for the historical analysis.